Beyond Property Management, Inc.

1220 N. Coast Hwy. 101 Suite #120 • Encinitas, CA 92024
(858) 222-4663

1. PROPERTY MANAGEMENT AGREEMENT

1.1 AGREEMENT

This agreement is between **<<Owner Name(s)>>** (Owner(s)) and **<<Company Name>>** (Management Company).

ABBREVIATIONS: Beyond Property Management is the same as BPM or B.P.M.

1. APPOINTMENT OF BROKER: Owner hereby employs and grants Broker (hereinafter “Property Manager”) the exclusive right to rent, lease, operate and manage the property(ies) known as **<<Property Address>>** and any additional property that may later be added to this Agreement ("Property"), upon the terms below, for the period beginning (date) **<<Management Start Date>>** and ending (date) **<<Agreement Termination Date>>**at 11:59 PM. This agreement automatically goes month to month thereafter until written notice is given.

Either party may terminate this Property Management Agreement ("Agreement") on at least 7 days written notice. After the exclusive term expires, this Agreement shall continue as a non-exclusive agreement that either party may terminate by giving at least 7 days written notice to the other party.

2. PROPERTY MANAGER ACCEPTANCE: Property Manager accepts the appointment and grant, and agrees to:

A. Use due diligence in the performance of this Agreement.

B. Furnish the services of its firm for the rental, leasing, operation and management of the Property at the reasonable discretion of the Property Manager.

3. AUTHORITY AND POWERS: Owner grants Property Manager the authority and power, at Owner's expense, to:

A. ADVERTISING: Advertise the availability of the Property, or any part thereof, for rental or lease on online media or any other method selected by Broker. Use Zillow per diem advertising at Owner's expense. One time professional photography is at Management expense.

B. RENTAL / LEASING: Initiate, sign, renew, modify or cancel rental agreements and leases for the Property, or any part thereof; collect and give receipts for rents, other fees, charges and security deposits. Unless Owner authorizes a lower amount, rent shall be at market rate. If Owner authorizes Tenant to remit rent by direct deposit, wire transfer, electronic funds transfer, or any other online payment method, Owner is advised to consult with a qualified landlord-tenant attorney regarding the potential legal implications should Tenant default and eviction proceedings become necessary.

C. TENANCY TERMINATION: Sign and serve in Owner's name notices that are required or appropriate; commence and prosecute actions to evict tenants; recover possession of the Property in Owner's name; recover rents and other sums due; and, when expedient, settle, compromise and release claims, actions and suits and/or reinstate tenancies. Landlord permits Tenant to pay rent by direct deposit such as wire or electronic transfer or other online method. Landlord should discuss with a Landlord-Tenant attorney the implications of doing so in the event Tenant defaults and an eviction becomes necessary.

D. REPAIR; MAINTENANCE: Make, cause to be made, and/or supervise repairs, improvements, alterations and decorations to the Property; purchase, and pay bills for, services and supplies. Owner agrees that state and local water use restrictions will supersede any obligation by Property Manager or any Tenant to water/maintain gardens landscaping trees or shrubs. Property Manager shall obtain prior approval of Owner for all expenditures over $300 for any one item. Prior approval shall not be required for monthly or recurring operating charges or, if in Property Manager's opinion, emergency expenditures over the maximum are needed to protect the Property or other property(ies) from damage, prevent injury to persons, avoid suspension of necessary services, avoid penalties or fines, or suspension of services to tenants required by a lease or rental agreement or by law, including, but not limited to, maintaining the Property in a condition fit for human habitation as required by Civil Code §§ 1941 and 1941.1 and Health and Safety Code §§ 17920.3 and 17920.10.

E. REPORTS, NOTICES AND SIGNS: Comply with federal, state or local law requiring delivery of reports or notices and/or posting of signs or notices.

F. BROKER AND THIRD-PARTY VENDOR SERVICES: Contract, hire, supervise and/or discharge firms and persons, including utilities, required for the operation and maintenance of the Property. Property Manager may perform any of Property Manager's duties through attorneys, agents, employees, or independent contractors and, except for persons working in Property Manager's firm, shall not be responsible for their acts, omissions, defaults, negligence and/or costs of same or any associated costs Owner agrees to indemnify, defend, and hold property manager harmless for the foregoing as set forth. Property Manager is authorized to supervise the activities of any employees or independent contractors engaged by Owner to perform services related to the operation or maintenance of the Property. However, Owner shall be solely responsible for any costs, expenses, or liabilities arising from such services, and Owner agrees to indemnify, defend, and hold Property Manager harmless from any claims, losses, or damages related thereto, as further set forth in Section 4B.

G. EXPENSE PAYMENTS: Pay expenses and costs for the Property from Owner's funds held by Property Manager, unless otherwise directed by Owner. Expenses and costs may include, but are not limited to, property management compensation, fees and charges, expenses for goods and services.

If and only if Broker uses a credit card to purchase supplies or other services on behalf of the Owner, Broker may receive points and/or other financial bonuses as a result of the purchase.

Prior approval of Owner shall not be required for payment of ordinary monthly or recurring operating expenses. In addition, if in Property Manager's judgment emergency expenditures exceeding the stated maximum are necessary to (i) protect the Property from damage, (ii) prevent injury to persons, (iii) avoid suspension of essential services, (iv) prevent the imposition of penalties or fines, or (v) ensure continuation of services required by lease, rental agreement, or applicable law, Property Manager is authorized to make such expenditures. This includes, but is not limited to, actions necessary to maintain the Property in a condition fit for human habitation as required by California Civil Code §§ 1941 and 1941.1 and Health and Safety Code §§ 17920.3 and 17920.10.

H. SECURITY DEPOSITS: Receive security deposits from tenants, which deposits are placed in Property Manager's trust account.

To comply with applicable security deposit laws:
A) For any tenancy commencing on or before July 1, 2025, the housing provider named on the lease shall take photographs of the unit prior to, or at the inception of, the tenancy.
B) Beginning April 1, 2025, the housing provider named on the lease shall take photographs of the unit (i) after possession has been returned but before any repairs or cleaning are performed, and (ii) after the completion of such repairs or cleaning.
C) Any photographs taken under Sections A or B must be provided to the tenant together with the itemized statement of deductions from the security deposit, if any portion of the deposit is withheld for repairs or cleaning.

I. TRUST FUNDS: Deposit all receipts collected for Owner, less any sums properly deducted or disbursed, in a financial institution whose deposits are insured by an agency of the United States government. The funds shall be held in a trust account separate from Property Manager's personal accounts. Property Manager shall not be liable in event of bankruptcy or failure of a financial institution.

Owner authorizes Manager to deposit all trust funds received about this property management service into an analyzed trust account. The analyzed trust account accrues earnings credits that are used to offset bank services charges assessed to Manager. Any excess earnings credits or funds earned from the analyzed trust account may be paid to Manager or vendors used by the Manager. The analyzed trust account provides Manager with a financial benefit.

J. RESERVES: Maintain a reserve in Property Manager's trust account of $750 per unit and received at time of this fully executed agreement. This operating reserve shall be used to pay for any monthly expenses that may occur during the management of the Property. Should Management Agreement be terminated, any unused portion of this reserve will be refunded to Property Owner.

K. DISBURSEMENTS: Disburse Owner's funds held in Property Manager's trust account in the following order:

(1) Compensation due Property Manager.

(2) All other operating expenses, costs and disbursements payable from Owner's funds held by Property Manager.

(3) Reserves and security deposits held by Property Manager.

(4) Balance to Owner.

L. OWNER DISTRIBUTION: Remit funds, if any are available, monthly by the 15th of the month to Owner.

M. OWNER STATEMENTS: Render monthly by the 15th of each month of receipts, expenses and charges for each Property. Year-end report and 1099 form(s) to be sent in correct time frame.

N. PROPERTY MANAGER FUNDS: Property Manager shall not advance Property Manager's own funds in connection with the Property or this Agreement.

O. KEYSAFE/LOCKBOX: Owner authorizes the use of a keysafe/lockbox to allow entry into the Property. The Management Company will install a Owner owned combo lockbox that conveys with the property.

P. MAIL FORWARDING: Under no circumstances shall Property Manager be responsible for forwarding mail addressed to any prior occupant. All such mail may be refused and returned to sender.

4. OWNER RESPONSIBILITIES: Owner shall:

A. Provide all documentation, records and disclosures as required by law or required by Property Manager to manage and operate the Property, and immediately notify Property Manager if Owner becomes aware of any change in such documentation, records or disclosures, or any matter affecting the habitability of the Property.

B. Indemnify, defend and hold harmless Property Manager, and all persons in Property Manager's firm, as permitted by law, from all costs, expenses, suits, liabilities, damages, attorney fees and claims of every type, including but not limited to those arising out of injury or death of any person, or damage to any real or personal property of any person, including Owner, **(i)** for any repairs performed by Owner or by others hired directly by Owner; **(ii)** for those acts relating to the management, leasing, rental, security deposits, or operation of the

Property by Property Manager, or any person in Property Manager's firm, or the performance or exercise of any of the duties, powers or authorities granted to Property Manager; or Except to the extent that such costs, expenses, or liabilities arise from the gross negligence, willful misconduct, or breach of duty by Property Manager. **(iii)** from any incorrect or incomplete information supplied by Owner, or from any material facts that Owner knows but fails to disclose including dangerous or hidden conditions on the Premises.

C. Maintain the Property in a condition fit for human habitation as required by Civil Code §§ 1941 and 1941.1 and Health and Safety Code §§ 17920.3 and 17920.10 and other applicable law.

D. Equal Housing Opportunity - understands that the property is offered in compliance with Federal, State, and local anti-discrimination laws

E. Carry and pay for: **(i)** public and premises liability insurance; **(ii)** property damage insurance adequate to protect the interests of Owner and Property Manager; and **(iii)** worker's compensation insurance adequate to protect the interests of Owner and Property Manager is recommended but coverage is at the discretion of the Owner. Property Manager shall be, and Owner authorizes Property Manager to be, named as an additional insured party on Owner's policies.

F. Pay any late charges, penalties and/or interest imposed by lenders or other parties for failure to make payment to those parties, if the failure is due to insufficient funds in Property Manager's trust account available for such payment.

G. Immediately replace any funds required if there are insufficient funds in Property Manager's trust account to cover Owner's responsibilities.

5. OWNER REPRESENTATIONS:

A. Owner represents that, unless otherwise specified in writing, Owner is unaware of: **(i)** any recorded Notice of Default affecting the Property; **(ii)** any delinquent amounts due under any loan secured by, or other obligation affecting, the Property; **(iii)** any bankruptcy, insolvency or similar proceeding affecting the Property; **(iv)** any litigation, arbitration, administrative action, government investigation, or other pending or threatened action that does or may affect the Property or Owners ability to transfer it; and **(v)** any current, pending or proposed special assessments affecting the Property. Owner shall promptly notify Property Manager in writing if Owner becomes aware of any of these items during the term of this Agreement.

B. Owner represents that any and all residential rental unit(s) and/or structures on the Property contain all permits and government approvals needed to lawfully lease or rent any such unit as a dwelling.

6. TAX WITHHOLDING (Only applies if you are not a California resident/LLC or if you did not file California taxes the last two years):

A. If Owner is not a California Resident or a Corporation or LLC qualified to conduct business in California, Owner authorizes Property Manager to withhold and transmit to California Franchise Tax Board ("FTB") 7% of the GROSS payments to Owner that exceed $1,500 received by Property Manager, unless Owner/Management completes and transmits to Property Manager FTB form 589, nonresident reduced withholding request, FTB form 588, nonresident withholding waiver, or FTB form 590, withholding exemption certificate.

B. If Owner is a nonresident alien individual, a foreign entity, or other non-U.S. person, (Foreign Investor) Owner authorizes Property Manager to withhold and transmit to the Internal Revenue Service (IRS) 30% of the GROSS rental receipts unless Owner elects to treat rental income as “effectively connected income” by submitting to Property Manager a fully completed IRS form W-8ECI, Certificate of Foreign Person's Claim for Exemption From Withholding on Income Effectively Connected With the Conduct of a Trade of Business in the United States. A Foreign investor Owner will need to obtain a U.S. taxpayer identification number and file a declaration with the IRS regarding effectively connected income in order to complete the form given to Property Manager. Further, the Foreign Investor Owner will be responsible for making any necessary estimated tax payments.

C. If and only if management company withholds funds for the FTB, FTB requires withholding four times a year plus requires year end paperwork. Landlord agrees to compensate management company $60 per filing or waiver request and $60 for year end 592-B paperwork. If Landlord is not a California resident, then Landlord agrees to compensate BPM $60 for each waiver extension.

7. PROPERTY CONDITION/FACTS:

A. LEAD-BASED PAINT: If property was built prior to 1978, Owner to disclose to Management Company in writing the Owner is aware of lead based paint.

B. MOLD: Owner to disclose to Management Company in writing if the Owner is aware of mold.

C. ASBESTOS: Owner to disclose to Management Company in writing if the Owner is aware of asbestos.

D. PEST CONTROL: If Owner has entered into a contract for periodic pest control treatment of the Property ,Owner, within 3 days, will provide Property Manager a copy of the notice originally given to owner by the pest control company.

E. METH CONTAMINATION: If Owner has received an order from a health official prohibiting occupancy of any part of the Property because of methamphetamine contamination, Owner, within 3 days, will provide Property Manager a copy of the order.

F. BED BUG DISCLOSURE: Owner acknowledges that beginning July 1, 2017, for new tenants and by January 1, 2018, all tenants must be provided a notice regarding bed bugs. Owner further acknowledges that it is unlawful to show, rent, or lease a property if there is a known current bed bug infestation. Owner to notify Management company in writing if they are aware of current infestation.

G. WATER SUB-METERS: If Property contains two or more units served by a single water meter and Owner has installed a submeter to measure and charge each individual unit for water usage, Owner agrees to comply with Civil Code §§ 1954.201 through 1954.219.

H. CARBON MONOXIDE DETECTORS: If Premise has a fossil fuel burning heater, appliance, or an attached garage, Landlord has installed and/or Management company to install carbon monoxide detector devices in accordance with legal requirements.

I. SMOKE ALARMS: Landlord has installed and/or Management company to install smoke alarm(s) in each bedroom, in the hallway outside of each bedroom and on each floor whether or not a bedroom is located on the floor in compliance with legal requirements.

J. WATER CONSERVING PLUMBING FIXTURES: The Owner understands the new law to install water conserving plumbing fixtures (toilets, shower heads, interior faucets, urinals) as per Civil Code section 1101.1 et seq effective as of 1/1/2017 for single family residential properties and 1/1/2019 for multifamily residential properties.

K. WATER HEATERS: Water heater needs to be braced, anchored or strapped to resist falling or horizontal displacement due to earthquake motion.

8. COMPENSATION/GUARANTEES:

A. Owner agrees to pay Property Manager fees in the amounts indicated below for:

i. MANAGEMENT: 8% of monthly collected rents, forfeited deposits, resident paid solar income, resident paid utility flat fees, early lease termination liquidated damages, and/or resident rent concessions/credits (i.e. resident receives a move-in special; resident receives a day of rent for not having hot water due to hot water heater repair).

ii. TENANT PLACEMENT FEE WITH MANAGEMENT: Tenant placement fee of $588.00 is effective upon first vendor referral, first advertisement, and/or first showing. Tenant placement fee is due upon tenant moving into the house and once all move in funds are received. There are no upfront fees.

iii. LEASE RENEWAL: Owner shall compensate Broker a commission of $98 when an existing tenant signs a new lease or an amendment extending the length of the lease. or when rent is increased.

iv. CANCELLATION OF CONTRACT: If Owner is not satisfied with Beyond Property Management's service / wants to move back in / wants to sell the house, then the Owner can cancel this agreement with 7 days written notice. Beyond Property Management also reserves the right to cancel this agreement with 7 days written notice.

- **TENANT NOT PLACED:** If contract is canceled prior to the Tenant being placed and B.P.M. advertises the property for rent, shows the property to prospective residents, and/or coordinates/refers vendors, Owner to pay B.P.M. $500.00 at time of cancellation as well as the cost of the professional photos, advertising hard costs, and/or pending resident application fees; this is per unit. This covers Broker's administrative, advertising, showing costs, etc.

- **TENANT PLACED:** If a new lease is signed and either party cancels prior to Management Company receiving commission equivalent to half of the first full month's rent for each set of tenant's placed, then Management Company will receive the difference at time of cancellation. This is equivalent to BPM's Tenant Placement Only services. In addition, there is a $70 document storage fee to store documents for 7 years which is required by the IRS .

- **TENANT MOVED OUT AND TURNOVER/DEPOSIT ALLOCATION NEEDED:** If Owner wants to take possession of the property once a tenant vacates/cancel services with BPM and the Owner wants BPM to coordinate any of the turnover, pre-move-out, move-out inspection, vendor estimates, and/or allocate the tenant security deposit, then $400 will be paid to Beyond Property Management for final close out.

v. HOUSING AUTHORITY BONUS: Fees/income are divided evenly between Management and Owner.

vi. ANNUAL ADMIN FEE: Owner shall pay Broker $60 per year, due February 1st of each calendar year, in order to cover Broker's costs of prepared annual statements for the prior year. At time of cancellation/offboarding, a final annual admin fee will apply to account for final 1099 tax preparation.

vii. MOVE-IN, MOVE-OUT, & PERIODIC INSPECTIONS: Management shall conduct move-in and move-out inspections of Property at no cost to Owner, and conduct one detailed interior inspection with photos per year at owners expense ("periodic inspection").

viii. PROJECT MANAGEMENT (OVER THE SCOPE OF A TYPICAL TURNOVER): Owner agrees to pay Beyond Property Management 10% of invoiced repair receipts to oversee any repair work costing more than $2,000 (i.e. billed receipts total $2,300 so BPM invoices $230). For turnovers only, the cost to repair does not include the cost of new flooring (carpet, vinyl, hardwood, tile, etc.) and/or interior paint on walls. Please note that Beyond Property Management is not a licensed General Contractor.

ix. TENANT PAID LATE FEES: Late fees are retained by Management Company and are intended to offset administrative burden only.

x. EVICTION / LEGAL FEES / POSTINGS: Any costs related to formal legal enforcement or eviction activity, including notice posting and service fees, shall be billed to Owner.

xi. EVICTION PROTECTION GUARANTEE: BPM will pay up to $1,200 in court and legal costs if and only if all of the following are met: (1) BPM places the resident (2) BPM recommends placement of the resident (3) The judge declares a verdict. This guarantee only applies if BPM has worked with the resident and owner throughout resident's entire tenancy.

xii. TENANT RETENTION GUARANTEE: If tenant vacates prior to lease being full-filled, Landlord is not responsible for new tenant placement fee. This guarantee only applies to BPM placed tenants and must be done during BPM management of the subject property.

B. Owner further agrees that:

(1) Property Manager may receive and keep fees and charges from tenants for: **(i)** requesting an assignment of lease or sublease of the Property; **(ii)** resident paid credit applications; **(iii)** any returned checks **(iv)** resident paid pet add ons or removal; **(v)** resident paid early lease break; **(vi)** resident paid trip charges; **(vii)** resident paid resident benefit package; **(viii)** resident requested lease addenda(s); **(ix)** resident violations; **(x)** resident requested landlord verifications; **(xi)** resident paid security deposit vendor oversite; **(xii)** resident paid check processing; **(xiii)** any bank credits; **(xiv)** lockboxes; **(xv)** any other services that are not in conflict with this Agreement.

(2) Property Manager may perform any of Property Manager's duties, and obtain necessary products and services, through affiliated companies or organizations in which Property Manager may own an interest. Property Manager may receive fees, commissions and/or profits from these affiliated companies or organizations. Property Management Company has an ownership interest in the following companies: Beyond Property Management Vendor Reimbursement, Asset Retention LLC, Resident Bundle, Estate Oversight, & Danyel B Realty.

C. NON-TYPICAL SCOPE OF MANAGEMENT DUTIES: This Agreement does not include providing on-site management services, property sales, refinancing, preparing Property for sale or refinancing, architectural reviews, obtaining income tax, accounting or legal advice, mail forwarding, representation before public agencies, advising on proposed new construction, debt collection, counseling, and/or attending Owner's Association meetings.

If Owner requests Property Manager to perform services not included in this Agreement, a fee shall be agreed upon before these services are performed. Some additional services are listed below:

(1). THIRD PARTY HOME WARRANTY COMPANY In the event that Owner has a home warranty that covers repairs to Property and Owner wants Broker to use the home warranty company for repairs while Broker is managing, Owner must provide the warranty company, the policy or account number, and have their credit card on file with the home warranty company in order for repairs to be ordered timely. Broker reserves the right to use Broker's vendors rather than the home warranty company; if in Broker's sole discretion, the use of the home warranty company for a particular repair would cause an unreasonable delay. When making this determination, Broker shall take into account the nature of the repair, the inconvenience to the tenant caused by it and any delay, the expected amount of time for the warranty company to effect repairs, and any other criteria that Broker deems relevant. If the home warranty is pre-existing upon the execution of this agreement, then Management Company will not charge a Home Warranty Admin fee for the duration of the current home warranty. If the home warranty is purchased after the execution of this agreement, there will be a $70 home warranty admin fee for every home warranty request.

(2) PAPER CHECKS & MAILING OF OWNER STATEMENTS: Broker's standard practice is to use "paperless" online statements and direct deposits in order to remain as "green" and low cost as practical. In the event that Owner does not provide direct deposit authorization, or requests paper statements or checks be mailed, then owner shall pay a $10 Paper Check Administrative Fee on the 1st day of each calendar month.

(3) NON-STANDARD PAYMENTS: Broker shall normally process payments on behalf of Owner only for vendors hired by Broker to perform work on Property. Should Owner request, and should Broker agree at its sole discretion, that Broker make payments from Owner’s account with Broker to other payees, Owner shall compensate Broker $10 per payment made.

(4) NON-STANDARD VENDORS: Owner shall compensate Broker $70 for the screening of each non-standard vendor (i.e. confirming workman's comp, introducing them to our vendor portal).

(5). SALE OF PROPERTY. If Owner sells Property to a tenant (or to a spouse, relative, or roommate of such tenant or to any other entity controlled by any of these parties) obtained by Broker, either during the term of the lease or thereafter, Owner shall pay Broker a commission of 2% of the price for which Property is sold. Owner shall immediately give notice to Broker if and when: (a) Owner enters into a contract to sell Property; or (b) Owner closes on the sale of Property to another. This obligation shall survive the expiration or termination of this Agreement.

(6) MANAGEMENT COMPANY NOT ADDITIONALLY INSURED: At the time of the execution of this agreement, Owner shall have the following insurance, and such insurance shall be maintained in force during the full term of this agreement:

1. Comprehensive public liability property insurance minimum coverage of $1,000,000.

2. Fire and extended coverage hazard insurance in an amount equal to the full replacement cost of the structure and other improvements.

3. The policy shall name Brokerage as additional insured on the liability portion.

Owner shall have 15 days from the execution to present proof of insurance to Agent in the form of certificate of insurance. Owner shall indemnify and hold agent harmless from any occurrence, liability, action, damage or litigation that arises during any period where no insurance exists or the policies lapse. Furthermore, if Owner's insurance is inadequate or fails to defend Owner and Agent from any occurrence, liability, action, damage or litigation, Owner shall be solely responsible.

Agent will automatically add Owner to Agent's master general liability insurance policy including administrative costs for a monthly cost of $25 per unit or hard cost of 3rd party insurance product with a $5 admin fee to Beyond Property Management. Owner may opt-out of Agent's Master General Liability Policy by providing a copy of the insurance required above. There will not be a charge if Owner provides proof of required insurance no later than 15 days from execution of this agreement.

(7) ADDITIONAL SERVICES REQUESTED BY OWNER: In the event that Owner requests additional services from Broker that are not contemplated by this Agreement and are not part of the normal policies and procedures that Broker has in place for managing Property, and Broker agrees to perform such additional services, Owner shall compensate Broker $100 per hour for services requiring the work of Broker's employees, or $200 per hour for services requiring the work of the Qualifying Broker, CEO, or other senior management. For example: preparing architectural reviews, attending HOA meetings, or trip charges to meet/review non-standard vendors or owners at the unit. Broker shall notify Owner prior to performing the service if any service requested by Owner shall be billed under this paragraph.

D. Property Manager may divide compensation, fees and charges due under this Agreement in any manner acceptable to Property Manager.

9. MOVE OUT PROCEDURE: When your Resident decides to move out, he/she must provide us with a written 30-Day Notice. Upon receipt of notice, we send the Resident paperwork explaining the move-out procedure and his/her right to a Pre-Move-Out Inspection. Below is a list of general guidelines:

- Resident must return property to B.P.M. as clean, or cleaner than it was given minus normal wear and tear.

- Resident must clean carpets with a professional truck mounted cleaner.

- Resident is responsible for bulb, heater filter, and/or refrigerator filter replacement.

- Resident is responsible for chimney clean-out.

- Resident is responsible for dryer vent replacement.

- Resident must make any repairs, or contract a professional to make repairs, that are needed due to Resident abuse, negligence, or accidental damage.

- He/she is not charged for normal wear and tear.

- Carpet Replacement: Determining the amount that the Resident will be charged for carpet replacement is based on a 7-year shelf life. The shelf life can vary if the carpet is of lessor quality.

- Re-painting: Determining the amount that the Landlord can deduct from the Resident's security deposit for repainting, when repainting is necessary, is based on the length of the Resident's stay in the rental unit. This approach assumes that interior paint has a three-year life. Using this approach, if the Resident lived in the rental unit for three years or more, the Resident will not be charged for any repainting costs, no matter how dirty the walls are.

PLEASE NOTE: These are general guidelines. Actual deductions may vary under certain circumstances.

10. AGENCY RELATIONSHIPS: Property Manager may act, and Owner hereby consents to Property Manager acting, as dual agent for Owner and tenant(s) in any resulting transaction. If the Property includes residential property with one-to-four dwelling units and this Agreement permits a tenancy in excess of one year, Owner acknowledges receipt of the "Disclosure Regarding Agency Relationships". Owner understands that Property Manager may have or obtain property management agreements on other property, and that potential tenants may consider, make offers on, or lease through Property Manager, property the same as or similar to Owner's Property. Owner consents to Property Manager's representation of other owners' properties before, during and after the expiration of this Agreement.

11. NOTICES: Any written notice to Owner or Property Manager required under this Agreement shall be served by sending such notice by first class mail or other agreed-to delivery method to that party at the address below, or at any different address the parties may later designate for this purpose or to Owner/Property Manager designated email address. Notice shall be deemed received three (3) calendar days after deposit into the United States mail or email. Electronic notice shall be deemed received the next business day after it was sent.

12. AMENDMENTS: The parties acknowledge that Broker's performance of its duties under this Agreement, and its costs associated therewith, may be affected by new laws or ordinances, changes in real estate licensing requirements, changes in industry standards, and/or changes in Broker's agreements with its third party contractors or vendors. In order to accommodate any such change, and notwithstanding any provision to the contrary contained in this Agreement, the parties hereby expressly agree that Broker may amend or modify any term of this Agreement affected by such change, from time to time, by providing at least sixty (60) days' written notice to Owner upon the email address or mailing address of Owner on file with Broker. Upon Owner's receipt of Broker's written notice of an amendment, and for each instance of Broker's written notice of an amendment, in the event Owner does not agree with such amendment, Owner shall have a one-time option to terminate this Agreement only upon written notice to Broker within thirty (30) days of Owner's receipt of Broker's written notice of the amendment. Upon Broker's timely receipt of Owner's written notice of termination, this Agreement shall terminate as of the last day of Broker's sixty (60) days' notice period. The parties further expressly agree that if Owner elects not, or otherwise fails, to deliver timely written notice of termination to Broker as required herein, Owner shall be deemed to be in agreement with such amendment and this Agreement shall continue uninterrupted with such amendment annexed hereto. In the event Owner terminates this Agreement in accordance with the terms of this paragraph, the provisions in this Agreement shall control the disposition of any security deposit held by Broker in connection to the Property.

13. DISPUTE RESOLUTION:

A. MEDIATION: Owner and Property Manager agree to mediate any dispute or claim arising between them out of this Agreement, or any resulting transaction before resorting to arbitration or court action. Mediation fees, if any, shall be divided equally among the parties involved. If, for any dispute or claim to which this paragraph applies, any party (i) commences an action without first attempting to resolve the matter through mediation, or (ii) before commencement of an action, refuses to mediate after a request has been made, then that party shall not be entitled to recover attorney fees, even if they would otherwise be available to that party in any such action. **Exclusions from this mediation agreement are specified in paragraph 12B.**

B. ADDITIONAL MEDIATION TERMS: The following matters shall be excluded from mediation and arbitration: (i) a judicial or non-judicial foreclosure or other action or proceeding to enforce a deed of trust, mortgage or installment land sale contract as defined in Civil Code §2985; (ii) an unlawful detainer action; (iii) the filing or enforcement of a mechanic's lien; and (iv) any matter that is within the jurisdiction of a probate, small claims or bankruptcy court. The filing of a court action to enable the recording of a notice of pending action, for order of attachment, receivership, injunction, or other provisional remedies, shall not constitute a waiver or violation of the mediation provisions.

C. ADVISORY: If Owner and Property Manager desire to resolve disputes arising between them rather than court, they can document their agreement by attaching and signing an Arbitration Agreement (C.A.R. Form ARB).

14. EQUAL HOUSING OPPORTUNITY: The Property is offered in compliance with federal, state and local anti-discrimination laws.

15. ATTORNEY FEES: In any action, proceeding or arbitration between Owner and Property Manager to enforce the compensation provisions of this Agreement, the prevailing Owner or Property Manager shall be entitled to reasonable attorney fees and costs from the non-prevailing Owner or Property Manager, except as provided in paragraph 11A.

16. UTILITIES: If utilities are in the Owner's name at time of start of Management Agreement, Owner agrees to leave gas, electric, water, and trash on until the Tenant's move-in. Owner is responsible to turn off all utilities at time of Tenant's move-in.

17. HOA: If there is an HOA, Management Company will be the primary point of contact between Owner and HOA. Owners will receive a copy of any newsletters/HOA updates via email.

18. FAIR HOUSING: Owner agrees to abide by all FAIR Housing laws. If Owner does not follow all FAIR Housing laws, B.P.M. will cancel the agreement and $500 will be owed to BPM at time of cancellation as well as the cost of professional photos, & the cost of the residents run application fees; this is a per unit cost. BPM will give a written notice effective immediately.

EQUAL ACCESS TO HOUSING FOR ALL:

All housing in California is available to all persons. Discrimination as noted below is prohibited by law. Resources are available for those who have experienced unequal treatment under the law.

FEDERAL AND STATE LAWS PROHIBIT DISCRIMINATION AGAINST IDENTIFIED PROTECTED CLASSES:

A. FEDERAL FAIR HOUSING ACT ("FHA") Title VIII of the Civil Rights Act; 42 U.S.C. §§ 3601-3619; Prohibits discrimination in sales, rental or financing of residential housing against persons in protected classes;

B. CALIFORNIA FAIR EMPLOYMENT AND HOUSING ACT ("FEHA") California Government Code ("GC") §§12900-12996,12955; 2 California Code of Regulations ("CCR") §§12005-12271; Prohibits discrimination in sales, rental or financing of housing opportunity against persons in protected classes by providers of housing accommodation and financial assistance services as related to housing;

C. CALIFORNIA UNRUH CIVIL RIGHTS ACT ("Unruh") California Civil Code ("CC") §51; Prohibits business establishments from discriminating against, and requires full and equal accommodation, advantages, facilities, privileges, and services to persons in protected classes;

D. AMERICANS WITH DISABILITIES ACT ("ADA") 42 U.S.C. §§12181-12189; Title III of the ADA prohibits discrimination based on disability in public accommodations; and

E. OTHER FAIR HOUSING LAWS: Section 504 of Rehabilitation Act of 1973 29 U.S.C. §794; Ralph Civil Rights Act CC §51.7.; California Disabled Persons Act; CC §§54-55.32; any local city or county fair housing ordinances, as applicable.

POTENTIAL LEGAL REMEDIES FOR UNLAWFUL DISCRIMINATION:

Violations of fair housing laws may result in monetary civil fines, injunctive relief, compensatory and/or punitive damages, and attorney fees and costs.

PROTECTED CLASSES/CHARACTERISTICS:

Whether specified in Federal or State law or both, discrimination against persons if based on that person's belonging to, association with, or perceived membership to, any of the following classes or categories is prohibited.

Race	Color	Ancestry	National Origin	Religion
Sex	Sexual Orientation	Gender	Gender Identity	Gender Expression
Marital Status	Familial Status (family with a child or children under 18)	Source of Income (e.g., Section 8 Voucher)	Disability (Mental & Physical)	Medical Condition
Citizenship	Primary Language	Immigration Status	Military/Veteran Status	Age

Criminal History (non-relevant convictions)	Any arbitrary characteristic

THE CALIFORNIA DEPARTMENT OF REAL ESTATE REQUIRES TRAINING AND SUPERVISION TO PREVENT HOUSINGDISCRIMINATION BY REAL ESTATE LICENSEES:

A. California Business & Professions Code ("B&PC") §10170.5(a)(4) requires 3 hours of training on fair housing for DRE license renewal; Real Estate Regulation §2725(f) requires brokers who oversee salespersons to be familiar with the requirements of federal and state laws relating to the prohibition of discrimination.

B. Violation of DRE regulations or real estate laws against housing discrimination by a real estate licensee may result in the loss or suspension of the licensee's real estate license. B&PC §10177(l)(1); 10 CCR §2780

REALTOR® ORGANIZATIONS PROHIBIT DISCRIMINATION:

NAR Code of Ethics Article 10 prohibits discrimination in employment practices or in rendering real estate license services against any person because of race, color, religion, sex, handicap, familial status, national origin, sexual orientation, or gender identity by REALTORS®.

WHO IS REQUIRED TO COMPLY WITH FAIR HOUSING LAWS?

Below is a non-exclusive list of providers of housing accommodations or financial assistance services as related to housing who are most likely to be encountered in a housing transaction and who must comply with fair housing laws.

● Sellers ● Landlords ● Sub-lessors ● Real estate licensees ● Real estate brokerage firms ● Property managers ● Mobile home parks ● Homeowners Associations ("HOAs"); ● Banks and Mortgage lenders ● Insurance companies ● Government housing services

EXAMPLES OF CONDUCT THAT MAY NOT BE MOTIVATED BY DISCRIMINATORY INTENT BUT COULD HAVE ADISCRIMINATORY EFFECT:

A. Prior to acceptance of an offer, asking for or offering buyer personal information or letters from the buyer, especially with photos. Those types of documents may inadvertently reveal, or be perceived as revealing, protected status information thereby increasing the risk of (i) actual or unconscious bias, and (ii) potential legal claims against sellers and others by prospective buyers whose offers were rejected.

B. Refusing to rent (i) an upper level unit to an elderly tenant out of concern for the tenant's ability to navigate stairs or (ii) a house with a pool to a person with young children out of concern for the children's safety.

EXAMPLES OF UNLAWFUL OR IMPROPER CONDUCT BASED ON A PROTECTED CLASS OR CHARACTERISTIC:

A. Refusing to negotiate for a sale, rental or financing or otherwise make a housing opportunity unavailable; failing to present offers due to a person's protected status;

B. Refusing or failing to show, rent, sell or finance housing; "channeling" or "steering" a prospective buyer or tenant to or away from a particular area due to that person's protected status or because of the racial, religious or ethnic composition of the neighborhood;

C. "Blockbusting" or causing "panic selling" by inducing a listing, sale or rental based on the grounds of loss of value of property, increase in crime, or decline in school quality due to the entry or prospective entry of people in protected categories into the

neighborhood;

D. Making any statement or advertisement that indicates any preference, limitation, or discrimination;

E. Inquiring about protected characteristics (such as asking tenant applicants if they are married, or prospective purchasers if they have children or are planning to start a family);

F. Using criminal history information before otherwise affirming eligibility, and without a legally sufficient justification;

G. Failing to assess financial standards based on the portion of the income responsible by a tenant who receives government subsidies (such as basing an otherwise neutral rent to income ratio on the whole rent rather than just the part of rent that is the tenant's responsibility);

H. Denying a home loan or homeowner's insurance;

I. Offering inferior terms, conditions, privileges, facilities or services;

J. Using different qualification criteria or procedures for sale or rental of housing such as income standards, application requirements, application fees, credit analyses, sale or rental approval procedures or other requirements;

K. Harassing a person;

L. Taking an adverse action based on protected characteristics;

M. Refusing to permit a reasonable modification to the premises, as requested by a person with a disability (such as refusing to allow a wheel chair bound tenant to install, at their expense, a ramp over front or rear steps, or refusing to allow a physically disabled tenant from installing, at their own expense, grab bars in a shower or bathtub);

N. Refusing to make reasonable accommodation in policies, rules, practices, or services for a person with a disability (such as the following, if an actual or prospective tenant with a disability has a service animal or support animal):

(i) Failing to allow that person to keep the service animal or emotional support animal in rental property,

(ii) Charging that person higher rent or increased security deposit, or

(iii) Failing to show rental or sale property to that person who is accompanied by the service animal or support animal, and;

O. Retaliating for asserting rights under fair housing laws.

EXAMPLES OF POSITIVE PRACTICES:

A. Real estate licensees working with buyers or tenants should apply the same objective property selection criteria, such as location/neighborhood, property features, and price range and other considerations, to all prospects.

B. Real estate licensees should provide complete and objective information to all clients based on the client's selection criteria.

C. Real estate licensees should provide the same professional courtesy in responding to inquiries, sharing of information and offers of assistance to all clients and prospects.

D. Housing providers should not make any statement or advertisement that directly or indirectly implies preference, limitation, or discrimination regarding any protected characteristic (such as “no children” or “English-speakers only”).

E. Housing providers should use a selection process relying on objective information about a prospective buyer's offer or tenant's application and not seek any information that may disclose any protected characteristics (such as using a summary document, e.g. C.A.R. Form SUM-MO, to compare multiple offers on objective terms).

FAIR HOUSING RESOURCES:

If you have questions about your obligations or rights under the Fair Housing laws, or you think you have been discriminated against, you may want to contact one or more of the sources listed below to discuss what you can do about it, and whether the resource is able to assist you.

A. Federal: **https://www.hud.gov/program_offices/fair_housing_equal_opp**

B. State: **https://www.dfeh.ca.gov/housing/**

C. Local: local Fair Housing Council office (non-profit, free service)

D. DRE: **https://www.dre.ca.gov/Consumers/FileComplaint.html**

E. Local Association of REALTORS®. List available at: **https://www.car.org/en/contactus/rosters/localassociationroster.**

F. Any qualified California fair housing attorney, or if applicable, landlord-tenant attorney.

LIMITED EXCEPTIONS TO FAIR HOUSING REQUIREMENTS:

No person should rely on any exception below without first seeking legal advice about whether the exception applies to their situation. Real estate licensees are not qualified to provide advice on the application of these exceptions.

A. Legally compliant senior housing is exempt from FHA, FEHA and Unruh as related to age or familial status only;

B. An owner of a single-family residence who resides at the property with one lodger may be exempt from FEHA for rental purposes, PROVIDED **no real estate licensee is involved** in the rental;

C. An owner of a single-family residence may be exempt from FHA for sale or rental purposes, PROVIDED (i) no real estate licensee is involved in the sale or rental and (ii) no discriminatory advertising is used, and (iii) the owner owns no more than three single-family residences. Other restrictions apply;

D. An owner of residential property with one to four units who resides at the property, may be exempt from FHA for rental purposes, PROVIDED **no real estate licensee is involved** in the rental; and

E. Both FHA and FEHA do not apply to roommate situations. See, Fair Housing Council v Roommate.com LLC, 666 F.3d 1216 (2019).

F. Since both the 14th Amendment of the U.S. Constitution and the Civil Rights Act of 1866 prohibit discrimination based on race; the FHA and FEHA exemptions do not extend to discrimination based on race.

19. HABITABILITY: Owner agrees to keep property habitable.

20. COMMUNICATIONS WITH TENANTS: Management prohibits direct communication between owners and tenants. This is to avoid your risk by opening gray areas. Management cannot effectively do our job as your agent and advocate if we are not involved in all communications.

21. SHOWING HOUSES: Owner agrees that the management company will only show the property when it is "show-able".

22. QUESTIONNAIRE/OWNER ON-BOARDING SHEET: If the Questionnaire is not attached to this agreement at time of signing, the Questionnaire will be sent to Owner for electronic signature upon receipt of this agreement. The Questionnaire specifies the HOA information, appliances, amenities, owner draw information, etc.

23. EMAIL: Owner agrees that email is an acceptable form of communication between Management Company and Owner.

24. TRUST/ CORPORATIONS/LLCS: If property is held in a Trust/LLC/Corporation, owner must provide a copy of the Trust/LLC/Corporation agreement summary showing that the owner is authorized signer for the trust.

25. CONTRACT VALIDITY: If any of this Agreement is found to be void or unenforceable by any court or mediation, the finding will have no effect on any other provision of this Agreement, and all other provisions will remain in full force and effect.

26. SECURITY AND INSURANCE: Property Manager shall not be responsible for any loss of or damage to real or personal property, or for injury to persons, whether arising from the use of a keysafe/lockbox, showings of the Property, or otherwise. Third parties, including but not limited to inspectors, brokers, and prospective tenants, may be granted access to the Premises and may take photographs or videos of the interior. Owner agrees: (i) to take reasonable precautions to safeguard valuables that may be accessible during showings, and (ii) to obtain and maintain insurance sufficient to protect against such risks. Property Manager does not maintain insurance coverage for Owner.

27. Modification of Agreement: Property Manager may modify the terms of this Agreement by providing Owner with at least thirty (30) days' written notice. If Owner objects to the proposed modification in writing within that period, Property Manager may elect either to rescind the modification or to permit Owner to terminate this Agreement. In the event of termination under this provision, no cancellation fee pursuant to Paragraph 8(iv) shall be due.

28. TIME OF ESSENCE; ENTIRE CONTRACT; CHANGES: Time is of the essence. All understandings between the parties are incorporated in this Agreement. Its terms are intended by the parties as a final, complete and exclusive expression of their Agreement with respect to its subject matter, and may not be contradicted by evidence of any prior agreement or contemporaneous oral agreement. If any provision of this Agreement is held to be ineffective or invalid, the remaining provisions will nevertheless be given full force and effect. Neither this Agreement nor any provision in it may be extended, amended, modified, altered or changed except in writing. This agreement and any supplement, addendum or modification, including any copy, may be signed in two or more counterparts, all of which shall constitute one and the same writing.

29. LEGALLY AUTHORIZED SIGNER: Wherever the signature or initials of the Legally Authorized Signer identified in the signature block below appear on this Agreement or any related documents, such signature or initials shall be deemed made in a representative capacity, unless expressly indicated otherwise.

The Legally Authorized Signer:
(i) represents that the entity on whose behalf the signer is acting is duly formed, validly existing, and in good standing under the laws of the State of California; and
(ii) agrees to deliver to Broker, within three (3) days after execution of this Agreement, satisfactory evidence of authority to act in such capacity, which may include, without limitation: the applicable portion of a trust or Certification of Trust (Probate Code §18100.5), Letters Testamentary, court order, Power of Attorney, corporate resolution, or formation documents of the business entity.

30. Ownership, Title And Authority: Owner represents and warrants that:
(i) Owner is the legal owner of the Premises;
(ii) no other person or entity holds title to the Premises; and
(iii) Owner has full authority to execute this Agreement and to lease or rent the Premises.

By initialing below, you acknowledge and agree to the terms in Section 1.

X___________
Initial Here

2. Sign and Accept

2.1 AUTHORIZED SIGNER

Owner warrants that Owner is the owner of the Property or has the authority to execute this Agreement. Owner acknowledges Owner has read, understands, accepts and has received a copy of the Agreement.

X ______________________________
Owner

____
Date Signed

X ______________________________
Agent/Broker

____
Date Signed